

The matter is set for an OSC re receipt of a proposed Amended Judgment as to Plaintiff and Plaintiff's counsel on incorporating this order for Attorney Fees. OSC set for 7/10/2026 at 8:30 a.m. in Dept. 6.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2506010	LIU VS MASCOT INTERNATIONAL LOGISTICS INC.	MOTION TO STRIKE DEFENDANT'S CIV-141, OR ALTERNATIVELY FOR AN ORDER DECLARING THE PURPORTED AUTOMATIC EXTENSION INEFFECTIVE AND PERMITTING ENTRY OF DEFAULT

CASE #	CASE NAME	HEARING NAME
CVRI2506010	LIU VS MASCOT INTERNATIONAL LOGISTICS INC.	HEARING RE: MOTION FOR SANCTIONS

Tentative Ruling:

Moving party: Plaintiff Cong Liu

Responding party: Defendant Mascot International Logistics, Inc.

Plaintiff Cong Liu ("Plaintiff") alleges that purchased 27 display cabinets ("Cargo") using her own funds for a commercial customer and retained ownership and bore all economic risk associated with the Cargo. The Cargo was shipped from China to the United States with House Bill of Lading No. SZOH24010453. After the cargo arrived in the United States, Defendant Mascot International Logistics, Inc. ("Defendant") took custody of it and refused to release it, despite Plaintiffs repeated demands. Plaintiff alleges that Defendant falsely misrepresented that the Cargo was detained due to a carrier lien and warehouse lien in order to coerce Plaintiff into paying additional charges.

On November 18, 2025, Plaintiff filed the Complaint, which asserts four causes of action for: (1) Conversion; (2) Trespass to Chattels; (3) Intentional Interference with Possessory Rights; and (4) Fraud and Deceit.

Prior to filing the instant action, Plaintiff filed a small claims case against Defendant regarding the same Cargo on March 6, 2024, Case No. SCCO2400217, which was dismissed on June 7, 2024. On March 18, 2024, Plaintiff filed a limited jurisdiction case, Liu v. Mascot International Logistics, Inc., Case No. CVCO2401737 ("LJ Action"), which was voluntarily dismissed on November 18, 2025, the same date the instant action was filed. On April 28, 2026, the court stayed all proceedings in the present action pending a ruling on Defendant's Motion to Vacate Dismissal in the LJ Action. The Court denied the Motion to Vacate the dismissal on 5/20/2026.

Plaintiff now moves to strike Defendant's Civ-141 Declaration of Demurring or Moving Party in Support of Automatic Extension ("Declaration"). Plaintiff argues that the Declaration is not the proper method to challenge service. Plaintiff argues that Defendant made no effort to meet and confer before filing the Declaration. Plaintiff argues that if the Declaration is not stricken, the Court should rule that it is ineffective to prevent default.

Defendant argues that the Declaration is proper because Plaintiff did not properly serve the Summons and Complaint, and therefore, there is no deadline to file a demurrer or responsive pleading. Defendant argues that the Declaration saves the costs of filing a motion to quash. Defendant requests sanctions under CCP § 128.5.

In her Reply, Plaintiff argues that the Opposition is untimely. Plaintiff argues that service was proper and she reasonably relied on the sheriff's deputy's sworn proof of service. Plaintiff argues that the employee who accepted service was authorized to accept service. Plaintiff argues that even if service was improper, the Declaration is not a motion to quash and does not prevent default. Plaintiff argues that Defendant should be sanctioned because the Declaration was false and misleading.

Plaintiff also moves for sanctions pursuant to CCP § 128.7 against Defendant and its counsel. Plaintiff argues that the Declaration was false and contradictory. Defendant argues that the Declaration was used for an improper purpose and the legal contentions are not warranted by existing law. Plaintiff argues that she complied with the safe harbor requirement.

Defendant again argues that service was improper, and therefore no responsive pleading was due. Defendant argues that the Declaration was reasonable in light of the circumstances and evidence. Defendant requests sanctions under CCP §§ 128.5, 128.7.

Analysis

Request for Judicial Notice:

Defendant requests judicial notice of Statement of Information filed by Mascot International Logistics, Inc. with California Secretary of State Office on March 21, 2025. The Court may take judicial notice of documents filed with the Secretary of State. (*Elmore v. Oak Valley Hospital Dist.* (1988) 204 Cal. App. 3d 716, 722.) Granted.

On the Merits:

A party against whom a complaint has been filed may demur to the complaint within 30 days after service of the complaint. (CCP § 430.40(a).) Before filing a demurrer, the demurring party must meet and confer in person, by telephone or video conference with party who filed the pleading for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (CCP § 430.41(a).) If the parties are not able to meet and confer at least five days before the date the responsive pleading is due, the demurring party shall be

granted an automatic 30-day extension of time within which to file a responsive pleading, by filing and serving, on or before the date on which a demurrer would be due, a declaration stating under penalty of perjury that a good faith attempt to meet and confer was made and explaining the reasons why the parties could not meet and confer. (CCP § 430.41(a)(2).) The demurring party shall not be subject to default *during the period of the extension*. (Id, emphasis added.)

Here, the Complaint was served on Defendant on November 25, 2025, according to the Proof of Service ("POS") filed on January 12, 2026. Defendant's Office Manager, Julia Zhu, accepted service. (POS.) Therefore, the responsive pleading was due on December 26, 2025. However, instead of filing a responsive pleading, Defendant filed the Declaration pursuant to section 430.41 to obtain a 30-day extension. The Declaration does not comply with the statutory requirements in that it does not state that a good faith attempt to meet and confer was made or explain the reasons why the parties could not meet and confer

Instead, Defendant appears to use the Declaration to challenge service of process. The Declaration states:

The Summons and Complaint were personally served upon Defendant Mascot International Logistics, Inc.'s ("Mascot") employee and Office Manager Julia Zhu on 11/25/2025. Ms. Julia Zhu is NOT an officer, agent for service of process, or a person authorized by Defendant Mascot to receive service of process. Pursuant to Code of Civil Procedure section 415.20(a), a copy of the Summons and Complaint shall be mail-served upon Defendant Mascot's officer, agent for service of process or a person authorized to receive service of process to complete the service of summons upon Defendant Mascot. As of this date, Plaintiff failed to mail-serve the Summons and Complaint upon Defendant Mascot' officer, agent for services of process or a person authorized to receive service of process to complete the service of summons per CCP section 415.20(a); therefore, there is no deadline for Defendant Mascot to file its responsive pleading yet. However, to avoid any confusion on this and to avoid the potential entry of default, Defendant Mascot chooses to voluntarily appear in this case and intends to file a demurrer shortly.

(See Civ-141 Declaration.) However, the automatic extension provision under section 403.41 is not a method to challenge service and does not prevent default in the event that the responsive pleading is not filed by the extended deadline. To challenge jurisdiction on the grounds of improper service, a party must file a motion to quash service of summons pursuant to CCP § 418.10(a)(1). Defendant did not file such a motion. Defendant cannot unilaterally determine that the service was improper, and therefore no responsive pleading is due without an order from the court quashing service of the summons. Since no motion to quash was timely filed, the summons stands, and the responsive pleading was due on or before December 26, 2026.

It is not clear that the Declaration should be stricken to the extent that Defendant intended to file a demurrer but failed to meet and confer. However, even assuming the Declaration filed for a proper purpose, the extended deadline has also passed. The filing of the Civ-141 Declaration did not prevent default.

Monetary Sanctions under Cal. Code Civ. Pro. §128.7:

Plaintiff seeks monetary sanctions pursuant to CCP §128.7, which provides that an attorney represents that a pleading or similar paper presented to the court has legal and factual merit and is subject to sanctions for a violation thereof. Thus, the attorney presenting the paper certifies that: 1) the pleading/motion was not brought for an improper purpose to harass or cause delay and increase costs of litigation; 2) the claims are warranted under existing law or a nonfrivolous argument for the extension of existing law; and 3) the allegations have evidentiary support. (Cal. Code Civ. Pro. § 128.7(b).) “Under both Code of Civil Procedure section 128.7 and [Federal Rule of Civ. Proc.] 11, there are basically three types of submitted papers that warrant sanctions: factually frivolous (not well grounded in fact); legally frivolous (not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law); and papers interposed for an improper purpose.” (*Guillemin v. Stein* (2002) 104 Cal.App.4th 156, 167.) “[T]o obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. A claim is objectively unreasonable if any reasonable attorney would agree that it is totally and completely without merit.” (*Peake v. Underwood* (2014) 227 Cal. App. 4th 428, 440.) “Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments, [section 128.7] sanctions should not be routinely or easily awarded even for a claim that is arguably frivolous” (*Kumar v. Ramsey* (2021) 71 Cal. App. 5th 1110, 1121.) Accordingly, sanctions should be imposed only in a rare and exceptional case where the pleading is clearly frivolous or made for an improper purpose. (*ibid.*)

As a preliminary matter, a party moving for sanctions under Section 128.7 is required to serve the motion 21 days before filing it to give the offending party an opportunity to withdraw or correct the challenged pleadings or documents. (CCP §128.7(c)(1).) The “safe harbor” provision “allows the party against whom sanctions are sought an opportunity [safe harbor] to withdraw or correct the challenged paper and thereby avoid the imposition of a sanction.” (*Barnes v. Department of Corrections* (1999) 74 Cal. App. 4th 126, 128.) Plaintiff complied with the safe harbor requirements by serving the Motion for Sanctions on Defendant on March 12, 2026. (Decl. of Liu, ¶ 35.) The Motion was filed on April 7, 2026.

While the filing of the Civ-141 Declaration did not prevent default or quash the service of the summons and complaint, it is not clear that the Declaration was entirely frivolous. It appears to be a misunderstanding of the law. Because sanctions should only be granted in rare cases, **Plaintiff's motion for sanctions under 128.7 is denied.**

Defendant also requests monetary sanctions on grounds that the Motion to Strike was unnecessary. While it is true that the Motion to Strike was unnecessary and Plaintiff could have requested default after the extended deadline to file the demurrer had passed, the Motion to Strike was not entirely frivolous. **Defendant's request for sanctions is denied.**

Summary:

Motion to Strike Civ-141 is denied. However, the Civ-141 did not quash service of the summons or prevent default. The Motion for Sanctions is denied.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2600447	ABITO VS BRUNK'S STEAKHOUSE INC	MOTION TO COMPEL ARBITRATION

Tentative Ruling:

Moving party: Defendant Brunk's Steakhouse, Inc. ("Defendant")

Responding party: Plaintiff Ryan Abito ("Plaintiff")

Hearing on this motion will be continued to 6/26/2026 at 8:30 in Dept. 6.